

MERIDIAN & ASSOCIATES LLP

Advisory | Assurance | Tax | Consulting

Cost Modeling Framework

Standard Pricing Methodology for Professional Services

CONFIDENTIAL

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Meridian & Associates LLP | New York | Chicago | San Francisco | London | Singapore

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1. Purpose and Scope

This document establishes Meridian & Associates LLP's standard cost modeling framework for pricing professional services engagements. It provides guidance on labor cost calculation, overhead allocation, margin targets, and fee presentation methods. All engagement partners and pricing managers are required to use this framework when developing fee proposals.

The framework applies to all service lines -- Audit & Assurance, Tax Services, Advisory & Consulting, Risk Advisory, and Financial Advisory -- with service-line-specific adjustments noted where applicable. Pricing for managed services and recurring engagements follows supplementary guidelines in the Managed Services Pricing Addendum.

2. Labor Categories and Standard Rates

Meridian defines seven standard labor categories across all service lines. Each category has a standard billing rate (used for time-and-materials engagements) and a standard cost rate (used for internal cost modeling and fixed-fee estimation). Rates are updated annually effective January 1.

FY2026 Standard Billing Rates (US Market)

- **Partner / Managing Director:** \$750 - \$950 per hour (varies by service line and specialization)
- **Senior Manager / Director:** \$550 - \$725 per hour
- **Manager:** \$425 - \$575 per hour
- **Senior Associate / Senior Consultant:** \$325 - \$450 per hour
- **Associate / Staff:** \$225 - \$325 per hour
- **Analyst / Junior Staff:** \$175 - \$250 per hour
- **Administrative / Paraprofessional:** \$125 - \$175 per hour

Rate Adjustments by Market

Standard billing rates are adjusted based on the market in which services are delivered:

- **Tier 1 Markets (NYC, SF, London, Singapore):** Standard rates as listed above
- **Tier 2 Markets (Chicago, LA, DC, Boston, Frankfurt):** 95% of standard rates
- **Tier 3 Markets (Denver, Dallas, Atlanta, other US metros):** 88% of standard rates
- **Tier 4 Markets (smaller US metros, nearshore locations):** 80% of standard rates
- **Offshore Delivery Centers (India, Philippines):** 45-55% of standard rates

Rate Adjustments by Service Line

Within each labor category, rates vary by service line reflecting market positioning:

- **Financial Advisory / M&A:** 110-120% of base rate (premium for transaction advisory)
- **Technology Consulting:** 105-115% of base rate (premium for specialized skills)
- **Cybersecurity Services:** 110-125% of base rate (market scarcity premium)
- **Tax Compliance:** 90-95% of base rate (competitive market pressure)
- **Government Audit:** 85-90% of base rate (public sector pricing constraints)

3. Cost Rate Calculation

The internal cost rate represents the fully loaded cost of a professional hour, used for margin analysis and fixed-fee estimation. It includes direct compensation, benefits, and allocated overhead.

Cost Rate Components

- **Direct Compensation:** Base salary + performance bonus (target), annualized and divided by standard available hours (1,800 hours for US professionals)
- **Benefits Load:** 32% of direct compensation (health insurance, retirement contributions, payroll taxes, disability, life insurance)
- **Facilities Allocation:** Per-capita allocation of office space, technology infrastructure, and utilities. FY2026: \$18,400 per professional (Tier 1), \$14,200 (Tier 2), \$11,800 (Tier 3/4)
- **Technology Allocation:** Per-capita allocation of software licenses, equipment, and IT support. FY2026: \$8,400 per professional
- **Training and Development:** Per-capita allocation of CPE, training programs, and professional development. FY2026: \$4,200 per professional
- **Insurance Allocation:** Professional liability insurance allocated per chargeable hour. FY2026: \$12.50 per hour
- **General and Administrative:** Corporate overhead (executive management, finance, HR, marketing, legal) allocated as 15% of direct compensation + benefits

FY2026 Standard Cost Rates (US Tier 1 Market)

- **Partner / Managing Director:** \$385 - \$480 per hour (fully loaded cost)
- **Senior Manager / Director:** \$265 - \$345 per hour
- **Manager:** \$195 - \$265 per hour
- **Senior Associate / Senior Consultant:** \$145 - \$205 per hour
- **Associate / Staff:** \$105 - \$155 per hour
- **Analyst / Junior Staff:** \$80 - \$120 per hour
- **Administrative / Paraprofessional:** \$60 - \$85 per hour

Implied Standard Margins

At standard billing rates and standard cost rates, the implied gross margin by labor category ranges from approximately 45% (Partner level) to 55% (Staff level). Blended engagement margins depend on the labor mix (pyramid) and typically fall in the 42-52% range at standard rates.

4. Fixed-Fee Estimation Methodology

For fixed-fee engagements, the cost model follows a bottom-up estimation approach:

Step 1: Scope Definition and Work Breakdown

Define the engagement scope in sufficient detail to estimate effort. Break the scope into phases, workstreams, and activities. For each activity, identify the labor categories required and the estimated hours. Use historical data from comparable engagements (available in the Pricing Analytics Dashboard) to calibrate estimates.

Step 2: Effort Estimation

Estimate hours by labor category for each activity using one of three methods:

- **Analogous Estimation:** Based on actual hours from comparable prior engagements, adjusted for scope differences. Preferred method when good comparables exist.
- **Parametric Estimation:** Based on productivity metrics (e.g., hours per entity audited, hours per tax return, hours per process redesigned). The Pricing Analytics Dashboard maintains productivity benchmarks by service line.
- **Expert Judgment:** Senior practitioner estimates based on experience. Used for novel or highly customized engagements. Should include a contingency buffer of 10-15%.

Step 3: Cost Calculation

Multiply estimated hours by the applicable cost rate for each labor category. Add direct engagement expenses (travel, technology licenses, subcontractor costs). The result is the total estimated cost.

Step 4: Margin Application

Apply the target margin for the service line and engagement type (see Section 5). The fee is calculated as: $\text{Fee} = \text{Total Estimated Cost} / (1 - \text{Target Margin \%})$.

Step 5: Competitive and Value Adjustment

Adjust the calculated fee based on competitive intelligence, strategic value of the client, and the client's price sensitivity. This adjustment requires practice leader approval if it results in a margin below the floor (see Section 5).

Step 6: Risk Contingency

For fixed-fee engagements, add an appropriate risk contingency to protect against scope creep and estimation uncertainty:

- **Low Risk:** 5% contingency -- well-defined scope, strong comparable data, experienced team, repeat engagement
- **Medium Risk:** 10% contingency -- standard scope with some customization, reasonable comparable data
- **High Risk:** 15-20% contingency -- novel scope, limited comparable data, new client, complex dependencies

5. Target Margins by Service Line

The following target and floor margins apply to all new engagement pricing. Floor margins represent the absolute minimum acceptable margin and require Regional Managing Partner approval. Margins are calculated on a gross basis (fee less direct costs, before G&A allocation).

Audit & Assurance

- **Target Margin:** 40-45%
- **Floor Margin:** 32%

Note: Government and not-for-profit audit margins typically fall at the lower end of the range due to competitive pricing pressures and procurement constraints.

Tax Services

- **Target Margin (Compliance):** 35-42%
- **Target Margin (Advisory/Planning):** 45-52%
- **Floor Margin:** 28%

Note: Tax compliance margins are typically lower due to competitive pressure and volume-based pricing. Tax advisory and planning engagements command premium margins due to specialized expertise and value delivered.

Advisory & Consulting

- **Target Margin (Strategy/Operations):** 48-55%
- **Target Margin (Technology Consulting):** 45-52%
- **Target Margin (Change Management):** 42-48%
- **Floor Margin:** 35%

Note: Advisory margins are the highest across the firm, reflecting the value-based nature of the work and the seniority of the labor mix.

Risk Advisory

- **Target Margin:** 42-48%
- **Floor Margin:** 33%

Financial Advisory / M&A

- **Target Margin (Retainer/Hourly):** 50-58%
- **Target Margin (Success Fee Component):** 65-75% (net of retainer credits)
- **Floor Margin (Retainer/Hourly):** 38%

Note: Financial advisory engagements often include success fee components tied to transaction close. The blended margin including success fees is typically 55-65%.

6. Expense Policy for Fee Proposals

Engagement expenses should be handled consistently in all fee proposals:

Travel and Living Expenses

- Fixed-fee engagements: Travel should be included in the fixed fee whenever possible, using estimated travel frequency and per-diem costs. This eliminates client surprise and simplifies billing.
- T&M engagements: Travel billed at actual cost with no markup, subject to the firm's travel policy (economy air for flights under 5 hours, premium economy for longer flights, business class for international with partner approval)
- Per-diem rates: Use GSA per-diem rates for US travel, OANDA for international travel
- Remote delivery: Where possible, propose a blended on-site/remote model to reduce travel costs and demonstrate efficiency

Technology and Tools

- Firm-standard tools (Meridian Insight, TaxConnect, WorkStream) are included in the fee -- never charge separately
- Third-party software licenses required for a specific engagement (e.g., specialized analytics tools, RPA licenses) should be included in the fee with client approval
- Technology infrastructure (laptops, connectivity) is included in overhead -- never charge separately

Subcontractor Costs

- Subcontractor costs should be estimated and included in the total fee
- Standard markup on subcontractor costs: 15-20%
- For pass-through arrangements (client-directed subcontractors): no markup, bill at cost

7. Fee Presentation Formats

Fees should be presented in the format most appropriate for the client and engagement type:

- **Fixed Fee by Phase:** Preferred for project-based advisory work. Present a total fixed fee broken down by project phase. Provides client with clear cost and Meridian with scope management tool.
- **Annual Fixed Fee:** Standard for recurring engagements (audit, tax compliance, managed services). Present as an annual fee with assumptions and scope definition.
- **Time-and-Materials with Cap:** Appropriate when scope is uncertain. Present blended or category-specific rates with a not-to-exceed cap. Provides client with cost protection.
- **Blended Rate:** Present a single blended hourly rate that incorporates all labor categories. Simplifies pricing but reduces transparency. Most appropriate for staff augmentation.
- **Value-Based / Success Fee:** For engagements with clearly measurable outcomes (cost reduction, revenue improvement, transaction close). Present a base fee plus success fee tied to achieved results.

8. Pricing Approval Requirements

All fee proposals require the following approvals before submission:

- **Under \$250K:** Engagement Partner approval
- **\$250K - \$1M:** Engagement Partner + Practice Leader approval
- **\$1M - \$5M:** Engagement Partner + Practice Leader + Regional Managing Partner approval
- **Over \$5M:** Engagement Partner + Practice Leader + Regional Managing Partner + Chief Operating Officer approval
- **Below Floor Margin:** All of the above + CEO or Vice Chairman approval

Pricing approval requests should be submitted through the Pursuit Approval System (PAS) in Meridian WorkStream at least 5 business days before the proposal submission deadline.